Q14

The most immediate advantage of borrowing is that the family business will retain its identity. The current shareholders will be able to remain in charge of the business. [1]

A quotation will force the members of family V to take the new shareholders' wishes into consideration and the culture of the company might change. [1]

The capital market might be reluctant to invest if the V family will retain a significant, possibly even a controlling, interest because external shareholders' interests might be difficult to enforce. [1]

Borrowing is likely to prove cheaper. The cost of debt is normally lower than the cost of equity, so it will usually make more sense to borrow. [1]

There is also the ability to avoid the professional fees that would be involved in an application for a stock exchange listing. [1]

[Maximum 5]

[Total 5]

Commentary:
This question was answered well by many candidates. It was good to see candidates mention several of the points in the examiners' solution and managing to discuss these points clearly.